Chapter Nineteen

Residential Real Estate Is a Victim of Bad Policy

India's Real-Estate Landscape

If you surveyed the residential real estate sector in India during the pre- and post-COVID-19 period, you would notice that home sales in metros were falling, new housing projects all over the country had slowed down or come to a trickle, and the housing price index was showing negative real price increase. While housing loans were growing at a healthy rate, the housing loans to GDP ratio was relatively very low, indicating late commencement of the housing loan business in India and lower base. A few housing finance lenders were facing a problem while most builders were stressed, and many simply insolvent. India's residential real estate was in deep crisis which began well before COVID-19.

Commercial real estate, however, was on a good growth trajectory before the pandemic. With an estimated size of about 700 million sq. ft of commercial real estate in India in 2019, growing at about 20 per cent per annum, the segment was expected to grow to over 2000 million sq. ft by 2025. Commercial real estate has attracted considerable interest from big foreign alternate asset investors. It has also seen financing innovation in the form of Real Estate Investment Trusts (REITs), which allow commercial real-estate companies to free up their capital and smaller investors to build a high-yield-return portfolio. With expansion of the IT and ITES sector, financial industry, logistics and organized retail, the commercial real-estate market was booming.

COVID-19 has changed real-estate market dynamics massively for both residential and commercial real estate. Owing to the perceived high risk of